

Memorandum for Record – Limiting Competition at or below the Simplified Acquisition Threshold

1. Contracting Activity: United States Army Contracting Command – New Jersey, Joint Armaments Division (ACC-NJ-JAD) 9 Phipps Road, Picatinny Arsenal, NJ 07806-5000

2. Description of Action: ESPRIT Computer Aided Manufacturing (CAM) Software maintenance renewal

Nature: ☒ New Requirement ☐ Follow-on Requirement

Contract Vehicle: ☒ Purchase Order Number TBD
☐ Blanket Purchase Agreement (BPA) Number
☐ Order/BPA# against FSS Contract #
☐ Order # against Multiple Award IDIQ Contract
Name or #
☐ Order # against a single award IDC Contract
4#
☐ Modification # to existing PO/TO/DO/Call Order

Pricing/Contract Type: ☒ Fixed Price ☐ Time & Materials/Labor Hours ☐
Cost Reimbursable ☐ Hybrid

Funds: ☐ Operations & Maintenance, Army (OMA) ☒ Other Funds: Research Development Test & Evaluation (RDT&E) Fiscal Year (FY) 25

Name of Proposed Contractor(s) and Address:

Hexagon Manufacturing Intelligence, Inc. (Cage Code: 1WUK4)
250 Circuit Drive
North Kingstown, Rhode Island 02852-7441

Brand Name Buy: ☒ Yes ☐ No

3. Description of Services or Supplies:

Weapons and Software Engineering Center (WSEC) Benet Laboratories research and development organization designs and fabricates hardware for large caliber cannon and mortar prototype designs. WSEC Benet Laboratories also supports manufacturing programs at the Watervliet Arsenal where the large caliber cannon and mortar systems are produced for all United States (US) armed forces on a large scale. This requirement

is for ESPRIT CAM Software maintenance renewal. The Contractor shall provide all software updates listed below and maintenance, technical support, and service patches. This software is required for the generation of complex part programs at WSEC Benet Laboratories and Watervliet Arsenal.

The Contractor shall provide maintenance for software upgrades on WSEC Benet Laboratories' current ESPRIT Licensing as described below:

Line	Product Description	Qty	U/I
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]

The period of performance is 12 months from the date of award. The total estimated value is \$44,700.00.

4. Authority:

☒ FAR 13.106-1(b)(1): For purchases not exceeding the simplified acquisition threshold (SAT), only one source reasonably available, urgency, exclusive licensing agreements, brand name, or industrial mobilization.

Or

- ☐ FAR 8.405-6(a)(1)(i)(B) and 8.405-6(b)(1) Brand Name
- ☐ FAR 8.405-6(a)(1)(i)(A) Urgency
- ☐ FAR 8.405-6(a)(1)(i)(B) Only One Source is Capable
- ☐ FAR 8.405-6(a)(1)(i)(C) Logical Follow-on

Or

- ☐ FAR 16.505(b)(2)(i)(B) Only One Awardee is Capable
- ☐ FAR 16.505(a)(4) Brand Name
- ☐ FAR 16.505(b)(2)(i)(A) Urgency
- ☐ FAR 16.505(b)(2)(i)(C) Logical Follow-on
- ☐ FAR 16.505(b)(2)(i)(D) Minimum Guarantee

5. Reasons for Authority Cited:

a. Hexagon Manufacturing Intelligence Inc. is the sole creator, developer and distributor of ESPRIT CAM software, thus there is no competition providing ESPRIT CAM software. [REDACTED]

In addition, the software is proprietary to Hexagon Manufacturing and is only available from the manufacturer. [REDACTED]

b. WSEC Benet Laboratories is currently using ESPRIT CAM software for part-program development and knowledge-based management systems. [REDACTED]

No other CAM software offers the same data management solutions as ESPRIT. [REDACTED]

ESPRIT is also an essential tool for the machinist and engineers at Benet. ESPRIT supports the programming needs for all advanced machine tools currently on the shop floor. ESPRIT provides a platform for the capture and reuse of critical process knowledge and has proven to be a reliable resource for production planning and estimating. [REDACTED]

[REDACTED] Benet's Information Technology (IT) department has developed a skillset in managing servers that support ESPRIT software as well. [REDACTED]

[REDACTED] This estimate does not include the cost of delayed projects due to the introduction of new software.

- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

Replacing the ESPRIT CAM software with new software could result in an increase in costs for the Government. In addition, the new software may not be compatible with the equipment currently being used for manufacturing or may result in a decrease in overall functionality or capability of the equipment due to limitations of the new software. Ultimately this new software could lead to issues with the development of large cannon and mortar prototypes which could result in injury to personnel.

6. Publicizing Contract Actions: For FAR Part 13 actions, the public display and synopsis requirements of FAR 5.101 and FAR 5.203 ☐ do not apply due to the \$ threshold, ☒ apply and will be followed, or ☐ do not apply due to an exception at 5.202 _____.

Requirement to post justification in accordance with FAR 8.405-6(b)(3), FAR 13.105(c), or FAR 16.505(a)(4)(iii)(A)

☐ Action is NOT a brand name restriction and is under \$150K, no posting required

☐ Action is a brand name restriction, under \$25K, no posting required

☒ Action is a brand name restriction, over \$25K. It will be redacted and posted with the solicitation.

☐ Action is a brand name restriction over \$25K but will not be posted due to exception:

- ☐ FAR 6.305(f)
- ☐ FAR 8.405-6(b)(3)(iii)(A)
- ☐ FAR 8.405-6(b)(3)(iii)(B)
- ☐ FAR 8.405-6(b)(3)(iii)(C)
- ☐ FAR 16.505(a)(4)(iii)(C)

7. Market Research:

WSEC Benet Laboratories has purchased ESPRIT Computer Aided Manufacturing (CAM) Software in 2011 from DP Technology, currently Hexagon Manufacturing Intelligence, Inc. Since then, we require a yearly ESPRIT software maintenance support.

Hexagon Manufacturing is the sole manufacturer, developer, and provider of ESPRIT CAM proprietary software and maintenance, which has been confirmed via a letter received from Hexagon Manufacturing dated 10 February 2026. Currently, there is NO other software that can meet the requirements of WSEC Benet Laboratories and there are no authorized resellers in the United States to support their software.

This CAM software enables engineers and technicians to generate process plans that optimize equipment efficiency, enabling prototype and production manufacturing to remain competitive, and meet demanding delivery schedules. [REDACTED]

A Sources Sought Notice (SSN) was issued in July 2016 - W15QKN-16-R-0178 with no responses received. As a result, a sole source Blanket Purchase Agreement (BPA) was established – W15QKN-17-A-0018. Also, in September 2021 the following Request for Information (RFI) #381144 was posted without any responses. [REDACTED]

8. Other Facts: The Contractor will not do options. Previous procurements are as follows.

- W15QKN-25-P-A097
- W15QKN-24-P-0020
- W15QKN-23-P-0024
- W15QKN-22-C-0030
- W15QKN-19-C-0022
- W15QKN-17-A-0018

9. Technical/Requirements Certification: I certify that the supporting data under my cognizance which are included in the justification is accurate and complete to the best of my knowledge and belief.

Government	Percentage
Current government	75%
Previous government	25%

10. Contracting Officer Certification/Approval:

I hereby determine that the anticipated cost or price to the Government for this contract action will be fair and reasonable based on a price analysis.

I certify that this justification is accurate and complete to the best of my knowledge and belief, and that completing this purchase as a sole source is in the best interest of the Government. Additionally, I approve this justification to limit competition subject to the availability of funds and provided that the services or supplies herein described have otherwise been authorized for acquisition.

[REDACTED]